

Paradiem

The Morning Brief

JUNE 28, 2026

Hormuz Reignites

Weekend Edition — CENTCOM Strikes, IRGC Retaliation in Bahrain and Kuwait, Israel-Lebanon Framework Signed; Holiday-Shortened Week With NFP Pulled to Thursday.

S&P 500 (FRI CLOSE)	NASDAQ (FRI CLOSE)	BRENT (BNO FRI)	BITCOIN (LIVE)	FEAR & GREED
\$728.99 · ↓~2.4% on the week	\$706.52 · ↓~4.6% on the week	\$40.31 · reportedly ↓~10% on the week per CNBC	~\$60K range · per public weekend feeds	Reportedly ~25 · Fear (CNN; drop fell back to Crypto 18)

SECTION 01

Markets — Week in Review: Chip Cohort Reverses on a Friday Rotation, Oracle Posts the Worst Week Since 2001

THE WEEK ENDING FRIDAY JUNE 26 REPORTEDLY RESOLVED AS A CYCLE PIVOT RATHER THAN A VALIDATION, WITH THE S&P 500 PROXY DOWN APPROXIMATELY 2.4% ON THE WEEK AND THE NASDAQ PROXY DOWN APPROXIMATELY 4.6% PER THE DATA DROP AND THE PRIOR BRIEF SERIES — THE MICRON \$100B CONTRACT FRAMEWORK DISCLOSED WEDNESDAY AFTER CLOSE AND THE APPLE MEMORY-COST TRANSMISSION THURSDAY REPORTEDLY GAVE WAY TO A FRIDAY CHIP ROTATION, WITH CRDO CLOSING AT \$238.00 (↓11.20%), KEYS AT \$328.66 (↓8.72%), QCOM AT \$189.39 (↓7.57%), ADI AT \$386.91 (↓7.42%), AND NXPI AT \$277.02 (↓7.24%) PER THE DATA DROP — PER CNBC COVERAGE, THE NASDAQ COMPOSITE REPORTEDLY POSTED ITS FIFTH CONSECUTIVE LOSING SESSION FRIDAY AS INVESTORS REPORTEDLY ROTATED OUT OF AI INFRASTRUCTURE NAMES AND INTO HEALTHCARE

For FCI’s framework, the week reportedly converted the AI memory cycle validation into an OEM-margin and hyperscaler-financing repricing rather than a clean leadership extension. Per CNBC coverage, Oracle reportedly closed the week with its steepest weekly drop since the August 2001 dot-com decline on AI financing concerns reportedly tied to its OpenAI infrastructure commitment, with reported total debt of approximately \$130 billion at end-May and capital expenditures reportedly running approximately 162% higher at \$55.7 billion in fiscal 2026 per CNBC and Reuters. Per CNBC, Oracle CDS reportedly widened to the highest since 2009. The healthcare rotation reportedly absorbed the chip flush, with XLV closing Friday at \$160.34 (↑3.03%), SYK leading the FCI movers tape at \$332.71 (↑5.25%), and ABT at \$94.12 (↑0.94%), DGX at \$209.88 (↑1.76%), and GPC at \$116.02 (↑2.68%) carrying the dividend sleeve.

S&P 500 (FRI CLOSE)	\$728.99 · ↓~2.4% on the week
NASDAQ (FRI CLOSE)	\$706.52 · ↓~4.6% on the week · 5th straight losing session per CNBC
ORACLE WEEKLY	Reportedly worst week since Aug 2001 per CNBC · reportedly ~\$80B mcap erased
ORACLE CDS	Reportedly highest since 2009 per CNBC · debt reportedly ~\$130B end-May
XLV (FRI)	\$160.34 · ↑3.03% · sector-best on rotation
BRENT (BNO FRI)	\$40.31 · reportedly ↓~10% on the week per CNBC
CARSON'S SPY SUPPORT	\$645.80 · active · well-removed from Fri intraday low \$716.58

FOR FCI'S INVESTMENT COMMITTEE, THE FRIDAY ROTATION REPORTEDLY RESET THE COHORT COMPOSITION WITHOUT DISRUPTING THE UNDERLYING THESIS — MEMORY-CYCLE THROUGH-PRINT EVIDENCE REPORTEDLY PERSISTS AT THE

CONTRACT-REVENUE LAYER EVEN AS THE FRIDAY TAPE REPRICED THE HARDWARE-OEM AND HYPERSCALER-FINANCING LAYERS

Per CNBC coverage, the New York Times reportedly indicated OpenAI is considering delaying its IPO into 2027 citing SpaceX's post-IPO action and AI-share volatility — a parallel signal on private-market funding cadence. For FCI's growth backbone, the LRCX (↓5.66% Fri), QCOM (↓7.57%), KEYS (↓8.72%), CRDO (↓11.20%), NXPI (↓7.24%), and ADI (↓7.42%) cohort reportedly carries the financing-tier repricing into Monday with quarter-end and month-end positioning overlaid. For the dividend sleeve, the healthcare bid (XLV ↑3.03%, SYK ↑5.25%, DGX ↑1.76%) and the staples/utility tilt (XLP ↑0.92%, XLU ↑0.76% per the data drop) reportedly carry the defensive read into the holiday-shortened week.

Avoid Erosion.

The week reportedly converted memory-cycle validation into an OEM-margin and hyperscaler-financing repricing as Oracle posts its worst week since 2001 and the chip cohort rotates out into healthcare. The physical world matters.

Geopolitics — Strike-Counterstrike Loop Across the Weekend: CENTCOM Hits Iran a Second Time, IRGC Retaliates on US Bases in Bahrain and Kuwait

PER CNN, CENTCOM STATEMENTS, GULF NEWS, REUTERS, AND AL JAZEERA COVERAGE, U.S. CENTRAL COMMAND REPORTEDLY CARRIED OUT A SECOND ROUND OF STRIKES ON IRANIAN TARGETS LATE SATURDAY JUNE 27 FOLLOWING THE REPORTED ATTACK ON THE PANAMA-FLAGGED OIL TANKER KIKU IN THE STRAIT OF HORMUZ — PER THE CENTCOM STATEMENT CITED VIA CNN AND GULF NEWS, U.S. NAVY AND AIR FORCE JETS REPORTEDLY STRUCK APPROXIMATELY 10 IRANIAN MILITARY TARGETS IN AND NEAR THE STRAIT REPORTEDLY INCLUDING SURVEILLANCE INFRASTRUCTURE, COMMUNICATION SYSTEMS, AIR DEFENSE SITES, DRONE STORAGE FACILITIES, AND MINELAYER CAPABILITIES — THE KIKU WAS REPORTEDLY TRANSITING WITH MORE THAN TWO MILLION BARRELS OF CRUDE PER MARITIME SECURITY FIRM VANGUARD TECH CITED VIA CNN

Per Middle East Eye, CBC News, Times of Israel, Al Jazeera, and Gulf News coverage, the IRGC reportedly responded between approximately 2:00 and 3:00 AM local time Sunday June 28 with ballistic missiles and drones reportedly targeting U.S. forces at the Ali Al Salem Air Base in Kuwait and the U.S. Fifth Naval Fleet at Port Salman in Manama, Bahrain. Per The Tribune and Times of Israel coverage, the IRGC reportedly claimed to have destroyed eight U.S. military infrastructure targets across Kuwait and Bahrain. Per Gulf News and Al Jazeera coverage, Bahrain's Foreign Ministry reportedly characterized the drone strikes as a flagrant violation of the kingdom's sovereignty. Per the IRGC statement cited via Times of Israel and The Tribune, the strike sequence reportedly contravenes the June 17 framework and reportedly signals a complete halt of all U.S.-Iran diplomatic processes. The escalation reportedly arrives roughly 11 days after the June 17 memorandum and reportedly tests whether the parallel diplomatic track from the Friday Israel-Lebanon framework can be sustained alongside the operational sequence. **Avoid Erosion.**

PER AUDACY, TIMES OF ISRAEL, FOX NEWS, EURONEWS, CNBC, AND AL JAZEERA COVERAGE, SECRETARY OF STATE RUBIO REPORTEDLY JOINED THE ISRAELI AND LEBANESE AMBASSADORS IN WASHINGTON FRIDAY JUNE 26 TO ANNOUNCE A FRAMEWORK AGREEMENT FOLLOWING FOUR DAYS OF US-MEDIATED TALKS — PER TIMES OF ISRAEL, THE AGREEMENT REPORTEDLY INCLUDES A PILOT EFFORT IN WHICH LEBANESE SOLDIERS TAKE CONTROL OF SOME SMALL AREAS CURRENTLY HELD BY ISRAELI TROOPS, ALONGSIDE A PROCESS AIMED AT DISARMING HEZBOLLAH — PER THE SAME COVERAGE, RUBIO REPORTEDLY ANNOUNCED A TRILATERAL "MILITARY COORDINATION GROUP FOR LEBANON" (MCG4L) AND REPORTEDLY PLEDGED AN IMMEDIATE \$100 MILLION U.S. HUMANITARIAN DONATION IN COORDINATION WITH THE UN

For FCI's defense sleeve, the parallel diplomatic-operational architecture reportedly continues to underwrite the multiyear procurement framework regardless of which track dominates the news cycle: LMT closed Friday at \$507.40 (↑0.47% per the data drop) and GD at \$346.71 (↑0.58%), reportedly absorbing the operational escalation cleanly. The THAAD framework activation referenced earlier in the week (up to \$35B / 7 years per the Lockheed Martin release) and the MCG4L architecture announced Friday reportedly stack onto the supplemental-funding pipeline. Per Fox News coverage, regional experts reportedly warned Iran will likely seek to sabotage the Israel-Lebanon arrangement — the weekend strike sequence reportedly aligns with that scenario. For the energy sleeve, the

Sunday-evening futures open reportedly carries the highest informational density of the week given the KIKU strike and the Bahrain-Kuwait retaliation; the Friday close on VLO at \$259.37 (↑1.69%), CVX at \$171.06 (↓0.69%), DVN at \$42.21 (↓0.92%), and OKE at \$89.22 (↓0.34%) reportedly anchors the cohort heading into Monday. **The physical world matters.**

CENTCOM SAT STRIKE **Reportedly ~10 Iranian targets hit per CENTCOM via CNN/Gulf News**

KIKU TANKER **Reportedly Panama-flagged, >2M bbl crude, struck in Hormuz per Vanguard Tech/CNN**

IRGC SUN RETALIATION **Reportedly missile/drone strikes on Ali Al Salem (Kuwait) and Port Salman (Bahrain) per IRGC via Middle East Eye/Times of Israel**

BAHRAIN MOFA **Reportedly flagged the strikes as a flagrant violation of sovereignty per Gulf News/Al Jazeera**

IRGC STATEMENT **Reportedly signaled a complete halt of U.S.-Iran diplomatic processes per Times of Israel/The Tribune**

ISRAEL-LEBANON FRAMEWORK **Reportedly signed Jun 26; MCG4L coordination group + \$100M humanitarian per Times of Israel/CNBC**

LMT · GD (FRI) **\$507.40 (↑0.47%) · \$346.71 (↑0.58%) · framework architecture intact**

On Our Radar

1. Week Ahead — Holiday-Shortened With NFP Pulled to Thursday, Warsh in Portugal Wednesday, Markets Closed Friday. Per the Kiplinger and CNBC week-ahead previews, the June employment situation report is reportedly scheduled to be released Thursday July 2 at 8:30 ET (a day early ahead of the July 3 Independence Day market closure per the NYSE calendar), with consensus reportedly near 172,000 nonfarm payrolls per Kiplinger. Per the same previews, Fed Chair Kevin Warsh is reportedly scheduled to speak in Portugal at approximately 9:30 ET Wednesday July 1, his second calendar appearance. Tuesday June 30 reportedly carries June Consumer Confidence and the May JOLTS print, with Nike (NKE) and Constellation Brands (STZ) reportedly scheduled to report earnings. Per CNBC coverage citing Wells Fargo's Darrell Cronk, fed funds futures are reportedly now pricing in a hike coming as soon as September after Chair Warsh signaled a greater focus on inflation. The framework read for FCI's rate-sensitive sleeves: the NFP print reportedly sits as the highest-conviction read on whether the Warsh hike track survives a soft-data flag, while Warsh's Wednesday remarks reportedly carry the first direct policy-tone read since the post-PCE communication window.

2. Sunday Futures Open — Hormuz, Bahrain, and Kuwait Through-Print. The Saturday-Sunday strike-counterstrike sequence reportedly arrives ahead of the first Sunday-evening U.S. futures open since the weekend escalation. Watch crude (USO/BNO) overnight pricing, S&P and Nasdaq futures, gold (GLD reportedly closed Friday at \$373.63 ↑1.13% per the data drop), Treasuries (TLT closed Friday essentially flat at \$87.36 per the data drop), and the dollar tape for the initial weekend repricing. Per the IRGC statement cited via Times of Israel and The Tribune, the framing that diplomatic processes will come to a complete halt reportedly removes the June 17 memorandum from the active negotiation channel; the Israel-Lebanon framework signed Friday reportedly remains operationally separate but reportedly carries the same regional security overlay. For FCI's energy sleeve (VLO, CVX, DVN, OKE), watch tanker war-risk insurance premiums and routing diversions away from Hormuz across Monday morning; for the defense sleeve (LMT, GD), the multiyear procurement architecture reportedly continues to underwrite the cohort regardless of escalation cadence.

3. Quarter-End and Month-End Positioning — Monday-Tuesday Rebalance Window. Monday June 29 marks the final two-session window for Q2 and June month-end positioning before the Tuesday close. Per CNBC coverage, the Friday rotation out of AI infrastructure into healthcare reportedly aligns with a defensive-tilt rebalance; for the dividend sleeve, the healthcare bid (XLV ↑3.03% Fri, SYK ↑5.25%, ABT ↑0.94%, DGX ↑1.76%, GPC ↑2.68% per the data drop) reportedly carries into the rebalance window with an embedded tailwind. For FCI's chip cohort (CRDO ↓11.20% Fri, KEYS ↓8.72%, QCOM ↓7.57%, ADI ↓7.42%, NXPI ↓7.24%), watch for a quarter-end mark-down dynamic versus dip-buying flows; the Oracle CDS widening to reportedly the highest since 2009 per CNBC reportedly carries a credit-tier signal that could cross-read into Monday-Tuesday hyperscaler-adjacent positioning. *Research Reveals Opportunities.*

4. Carson's Active Level and the Weekend Crypto Tape. Carson's SPY support at \$645.80 (set 2026-04-13) reportedly remains active and well-removed from the Friday cash tape (the S&P 500 proxy intraday low was \$716.58 per the data drop — no level interaction); the level continues to anchor the committee's downside framework into the holiday-shortened week. Per public weekend feeds, Bitcoin reportedly traded in the approximate \$58K–\$61K range across Saturday and Sunday with the Polymarket and Robinhood prediction-market windows reportedly carrying a bearish skew. The data drop's sentiment line continues to fall back to the Crypto Fear & Greed at 18 (Extreme Fear) while the CNN equity reading reportedly sits near 25 (Fear); the divergence reportedly persists. For FCI's digital sleeve (IBIT closed Friday at \$33.85, ETHA at \$11.89 per the data drop), the weekend tape reportedly tests the recent consolidation as the broader risk overlay reprices through the geopolitical sequence.

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